

## Sant Kumar vs Shahrukh And Ors on 17 February, 2025

IN THE COURT OF MS AUNRADHA JINDAL, ADDL.  
SENIOR CIVIL JUDGE-CUM- JUDGE SMALL CAUSE  
COURT-CUM-GUARDIAN JUDGE, DISTRICT: SOUTH,  
NEW DELHI

CS SCJ 142/18  
CNR No. DLST03-000230-2018

1. Sant Kumar  
S/o Manphul Singh  
R/o G-504, Phase-6, Bandh Road,  
New Delhi-110047.  
Contact No. 8800768712

2. Urmila Devi  
W/o Sant Kumar  
R/o G-504, Phase-6, Bandh Road,  
New Delhi-110047.  
Contact No. 8800768712

...PLAINTIFFS

VERSUS

1. Shahrukh S/o Rahimuddin  
2. Rahimuddin

Both residents of :-  
Vahid Nagar, Police Station-Kuvarsi  
Chaukia Nagla Patwari,  
Distt-Aligarh, U.P.

.....DEFENDANTS

SUIT FOR PERPETUAL AND MANDATORY INJUNCTION

Date of institution : 15.02.2018  
Date of reserving judgment : 03.01.2025

CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.1/43  
Date of pronouncement of judgment : 17.02.2025.

JUDGMENT

The Case

1. The present case arises from a financial dispute between the plaintiffs, Sant Kumar and Urmila Devi, and the defendants, Rahimuddin and his son Shahrukh. The plaintiffs allege that the defendants had sought a friendly loan of Rs. 2,50,000/- on 12.12.2015 due to financial distress following the alleged burning of their shop. The plaintiffs claim that despite repeated assurances, the defendants failed to repay the loan, and after persistent follow-ups, issued three cheques--one for Rs. 16,000/- and two for Rs. 5,000/- each

--towards repayment. However, two of these cheques were dishonored upon presentation due to insufficient funds, prompting the plaintiffs to initiate legal proceedings under Section 138 of the Negotiable Instruments Act. Subsequently, this recovery suit was filed, seeking reimbursement of the outstanding amount along with interest and damages.

2. Conversely, the defendants vehemently deny the plaintiffs' claims, asserting that no such loan was ever taken. Instead, they contend that the plaintiffs and their associates were engaged in an informal "committee business" wherein individuals contributed monthly installments, with the assurance of receiving a lump sum at maturity. The CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.2/43 defendants allege that they had invested in multiple committees run by the plaintiffs and had issued blank security cheques as a safeguard for their monthly contributions. According to them, when the time came for repayment, the plaintiffs fraudulently misused these security cheques, inserted their names, and presented them for encashment as purported loan repayments.

3. The case further escalated when the defendants claimed that the plaintiffs and their associates resorted to coercion and threats, allegedly forcing them to sign a written acknowledgment of the loan under duress. In retaliation, Defendant No. 2 filed an FIR against the plaintiffs at PS Kwarshi, Aligarh, under various sections of the IPC, including charges of criminal intimidation and wrongful confinement. Additionally, a complaint case under the NI Act filed by the plaintiffs was dismissed on maintainability grounds, and the subsequent revision petition was also rejected.

4. Thus, this case presents conflicting narratives, while the plaintiffs argue a straightforward case of unpaid debt, the defendants maintain that they were victims of fraudulent financial practices and undue pressure. The case, therefore, hinges on the court's determination of whether the financial transaction was a genuine loan or part of an informal committee scheme, and whether the defendants' allegations of coercion and fraud hold merit.

CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.3/43 The Proceedings: A Chronology

5. The case commenced on 15.02.2018 with the fresh suit for recovery of Rs. 2,50,000/- being assigned, checked, and registered. Summons were issued to the defendants, and the plaintiff was granted additional time to file certified copies of relevant documents.

6. On 05.07.2018, joint written statement, an application under Section 5 of the Limitation Act, and supporting documents were placed on record. Since the plaintiff raised no objection, the delay in filing the written statement was condoned, and directions were issued for filing replication,

admission-denial of documents, and framing of issues.

7. On 13.09.2018, the admission-denial process was conducted, and the Court framed the following issues:

- o Whether plaintiff is entitled for recovery of sum of Rs.2,50,000/- from defendants?
- OPP o Whether plaintiff is entitled to any interest on claimed amount and if yes, at what rate and for what period? OPP o Relief.

8. Subsequently, on 11.09.2019, after affording six opportunities for Plaintiffs' Evidence, the Court closed the plaintiff's evidence due to non-compliance. In response, the plaintiff filed an application under Order 18 Rule 17 CPC for recalling the closure order, citing professional misconduct by his previous counsel. The Court, considering CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.4/43 the interest of justice, allowed the application on 18.03.2021, imposing a cost of Rs. 2,000/-, and granted two final opportunities for Plaintiffs' Evidence.

9. Despite multiple adjournments caused by COVID-19 restrictions, Plaintiffs' Evidence progressed in 2022, with PW-1 and PW-2 examined, cross-examined, and discharged. Thereafter, the plaintiff sought to summon a witness from PS Kwarshi, Aligarh, UP, but failed to take necessary steps, leading to further adjournments. The summoned police witness (PW-3) was finally examined on 06.12.2023, and Plaintiffs' Evidence was closed on 25.01.2024 when the plaintiff submitted that he did not wish to lead further evidence.

10. With Plaintiffs' Evidence concluded, Defendants' Evidence commenced on 03.04.2024. Defendant No. 2 tendered his evidence affidavit, but an adjournment was sought due to the plaintiff's counsel's unavailability. The first defense witness (DW-1) was examined on 08.08.2024, and DW-2 was cross-examined and discharged on 13.12.2024. Upon the defendant's statement that no further witnesses would be examined, Defendants' Evidence was formally closed. The matter then proceeded to final arguments.

11. This Court has duly considered the final arguments advanced by the learned counsel for both parties. The Court has meticulously examined the entire record, giving careful attention to the pleadings, the evidence presented, and the submissions made on behalf of the parties as well as written CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.5/43 submissions filed on behalf of parties. Each aspect of the case has been analysed in light of the relevant facts and law, ensuring that all material brought before the Court has been fully reviewed and assessed in reaching a fair and just decision.

#### The Plaintiff

12. The plaintiff, Sh. Sant Kumar, a resident of G-504, Aya Nagar, New Delhi, had a long-standing acquaintance with the defendants, as they resided in the same locality and shared a cordial relationship. This familiarity led the plaintiff to extend financial assistance to the defendants when they found themselves in distress.

13. On 12.12.2015, the defendants, particularly Rahimuddin and his son, approached the plaintiff, seeking a friendly loan of Rs. 2,50,000/-, claiming that a fire had destroyed their shop, leaving them in severe financial difficulty. The plaintiff, understanding their predicament and acting in good faith, decided to help them by giving Rs. 2,50,000/- in cash at his residence. The transaction took place in the presence of witnesses Samim Khan and Kaleem Khan, along with the plaintiff's wife and two other individuals, namely Durjan Singh and Kaushal Kishore, who were also present when the amount was handed over.

14. At the time of receiving the loan, the defendants assured the plaintiff that the amount would be repaid within six months.

CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.6/43 However, as the stipulated time passed, the defendants failed to honor their commitment. When the plaintiff approached them for repayment, they initially requested an extension, citing their continued financial difficulties. Month after month, they made excuses and failed to make any payments, avoiding the plaintiff and evading their responsibility.

15. Despite several reminders and personal visits, the defendants deliberately avoided repayment, ignored the plaintiff's calls, and even attempted to conceal their whereabouts. On multiple occasions, when the plaintiff went to their house to demand his money, he was met with quarrels and evasive responses rather than any genuine effort to settle the outstanding amount.

16. After continuous persuasion, the defendants, in an apparent attempt to show their willingness to repay, issued a cheque for Rs. 16,000/-, bearing Cheque No. 140758, which was cleared upon presentation. This transaction reinforced the plaintiff's belief that the defendants intended to repay their dues. However, this belief was short-lived, as further attempts to secure payment proved futile.

17. On 11.07.2017, the defendants agreed to settle the loan in monthly installments of Rs. 15,000/-, to be paid before the 20th of each month. To support this commitment, they handed over two post-dated cheques, drawn on Canara Bank, Nangla Patwari, Aligarh, U.P., bearing the following details:

CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.7/43 o Cheque No. 586489, dated 02.07.2017, for Rs. 15,000/- o Cheque No. 586490, dated 20.09.2017, for Rs. 15,000/-

18. The defendants further assured that the remaining balance would be cleared in a similar manner. However, when the plaintiff deposited Cheque No. 586489 on 04.09.2017 and Cheque No. 586490 on 20.09.2017 in his Punjab National Bank, Aya Nagar Branch, he was shocked to learn that both cheques were dishonored due to insufficient funds, as per the bank's return memos dated 05.09.2017 and 21.09.2017, respectively. Upon confronting the defendants about the dishonored cheques, they assured the plaintiff that it was a temporary issue and requested him to redeposit the cheques. However, it soon became evident that their assurances were false and deceptive, as the cheques bounced again.

19.The defendants' malafide intentions were now apparent. They had issued cheques knowing fully well that their account did not have sufficient funds to honor them. Their actions were fraudulent, misleading, and clearly aimed at deceiving the plaintiff into believing that repayment would be made. Despite numerous reminders and legal follow-ups, the defendants failed to repay the amount. They intentionally deprived the plaintiff of his legitimate dues and caused financial hardship and distress.

20.Realizing that the defendants had no intention of repaying the loan, the plaintiff, through his counsel, issued a legal notice dated 25.01.2018, formally demanding the CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.8/43 repayment of the due amount within 15 days. The notice was duly served upon the defendants via speed post. However, instead of complying with the demand, the defendants ignored the notice and refused to make any payment. Their deliberate inaction confirmed their intent to cause wrongful loss to the plaintiff while wrongfully benefiting themselves. The defendants' conduct, particularly issuing cheques with knowledge of insufficient funds, constitutes an offense under Section 138 of the Negotiable Instruments Act, 1881, read with Section 420 of the Indian Penal Code, making them liable for both civil and criminal consequences.

21.As a result of the defendants' willful default, the plaintiff has suffered severe financial losses and inconvenience. Despite giving multiple opportunities and extended time, the defendants have neither repaid the loan nor made any genuine attempt to settle the outstanding amount. The cause of action in favor of the plaintiff and against the defendants arose:

- o On 12.12.2015, when the plaintiff extended the loan of Rs. 2,50,000/- at his residence.

- o On 05.09.2017 and 21.09.2017, when the cheques issued by the defendants were dishonored due to insufficient funds.

- o On 25.01.2018, when a legal notice was issued, demanding repayment, which the defendants failed to comply with.

CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.9/43 o The cause of action continues to subsist as the defendants have failed to make any payment despite legal notice and repeated follow-ups.

22.This Court has the territorial and pecuniary jurisdiction to entertain and adjudicate the present suit, as the loan transaction was executed at the plaintiff's residence in New Delhi. The dishonoured cheques were drawn on a bank that operates within the jurisdiction of this Court. The legal notice was served within New Delhi, making this Court competent to try the matter. In view of the facts and circumstances stated hereinabove, it is most respectfully prayed that this Court may be pleased to:

- a) Pass a decree for the recovery of Rs. 2,50,000/- (Rupees Two Lakh Fifty Thousand Only), along with interest @ 24% per annum, pendente lite and future interest, till

realization, in favor of the plaintiff and against the defendants.

b) Direct the defendants to bear the costs of the present suit.

c) Grant any other relief(s) that this Court may deem just and proper in the interest of justice.

Written Statement on behalf of Defendant No. 1 and 2

23.The present suit is liable to be dismissed as the plaintiff has suppressed material facts and has not approached this Court with clean hands. The suit is also barred under Order 7 Rule 11 of the Code of Civil Procedure, as the cause of action is vague and misleading. Additionally, this Court lacks CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.10/43 territorial jurisdiction, as the defendants are permanent residents of Aligarh, Uttar Pradesh. Defendant No. 2 runs a business in Gurugram, Haryana, and only visits Delhi occasionally to meet relatives. Defendant No. 1 has no personal or business connections in Delhi and does not know the plaintiff in any personal or financial capacity.

24.The suit is not maintainable due to lack of jurisdiction. The alleged cheques in question were issued from Canara Bank, Nangla Patwari Branch, Aligarh, U.P., and no loan agreement or financial transaction took place in Delhi. Since the plaintiff has failed to provide any evidence proving that the transaction occurred within the territorial limits of this Court, the suit deserves to be dismissed for lack of jurisdiction.

25.The plaintiff has misrepresented facts to fabricate a false cause of action. Defendant No. 2, Rahimuddin, was introduced to Plaintiff No. 2, Smt. Urmila Devi, through a common acquaintance, Md. Kaleem, during a visit to Delhi. The plaintiff and his wife run a local "Committee Business"

(rotating savings scheme) in Aya Nagar, New Delhi, wherein they attract investors by falsely promising high returns on monthly investments. Trusting their assurances, Defendant No. 2 initially invested Rs. 1 lakh in two separate committees, contributing Rs. 5,000/- per month towards each. Upon maturity, the plaintiffs convinced Defendant No. 2 to invest further amounts in new committees worth Rs. 2 lakhs and Rs. 3 lakhs, falsely claiming that his CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.11/43 previous investments would be adjusted. On this pretext, they obtained post-dated, pre-signed cheques, assuring that they would not be presented without prior confirmation.

26.Due to financial distress from running his furniture shop, Defendant No. 2 faced difficulty in continuing these premium payments. Occasionally, he asked his son, Defendant No. 1, to make payments on his behalf. However, Defendant No. 1 had no role in the financial dealings with the plaintiffs and was merely assisting his father. The final premium for one of the Rs. 2 lakh committees was paid via Cheque No. 140758, dated 30.12.2016, for Rs. 16,000/-, covering Rs. 10,000 as the current installment and Rs. 6,000/- as arrears. This cheque was encashed in favor of

Goutam Kumar (son of the plaintiffs).

27. Defendant No. 2 fell behind on a payment of Rs. 30,000/- for another committee. Since the plaintiffs already held two post-dated cheques (Cheque Nos. 586489 and 586490, each for Rs. 15,000/-), the defendant sent Rs. 30,000/- in cash through an associate, Md. Sagir, and requested the return of the cheques. However, Plaintiff No. 2 refused to return the cheques, claiming they were unavailable at that moment. Despite several visits and repeated requests, the plaintiffs refused to return the cheques, misleading the defendants into believing that they would still receive their rightful returns from the matured committees.

28. When the time came to return the investors' money from the matured committees, the plaintiffs failed to honor their CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.12/43 commitments. As tensions grew, disputes arose between the plaintiffs and other investors, leading to heated altercations. Seizing the opportunity, the plaintiffs deceitfully deposited the post-dated cheques, fully aware that Defendant No. 1 had no obligation towards them. Both cheques were dishonored on 05.07.2017 and 21.07.2017 due to insufficient funds.

29. On 11.07.2017, Plaintiff No. 2, along with a close relative and two retired police officers from the U.P. Crime Branch, arrived at Defendant No. 2's residence in Aligarh and threatened him with dire consequences unless he signed an undertaking falsely acknowledging a Rs. 2.5 lakh loan. Under duress and humiliation in front of the local community, Defendant No. 1, a young man of merely 21-22 years, was forced to pay Rs. 65,000/- immediately and sign the false declaration under coercion.

30. The defendants attempted to seek legal recourse but were met with refusal from the local police due to jurisdictional issues. Consequently, they filed an application under Section 156(3) Cr.P.C. before the ACMM, Aligarh, seeking registration of an FIR against the plaintiffs. The matter is currently under investigation.

31. The present suit lacks any legal basis, as there exists no valid loan agreement or evidence of a loan transaction. The plaintiffs have deliberately withheld the true facts of the case and have failed to provide any documentary proof of CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.13/43 disbursing a loan. Their claims are fabricated, misleading, and intended solely to extort money from the defendants.

32. The plaintiffs operate a fraudulent financial scheme through their illegal "Committee Business", misleading investors and later threatening them with police action when repayment is demanded. Several victims have suffered due to their deceitful practices, and the defendants possess evidence and witnesses to substantiate these claims, which will be produced if required.

33. Defendant No. 1 has no personal dealings with the plaintiff and was not involved in any financial transaction. His name has been wrongly implicated. No valid loan agreement or transaction record has been produced by the plaintiff. The burden of proof lies on the plaintiff to establish the alleged cash loan. The cheques in question were obtained under false pretenses as security for committee

investments and were wrongfully misused to fabricate a false claim. The plaintiff has suppressed key facts, including the receipt of Rs. 65,000/- under coercion and his involvement in illegal financial activities. The jurisdiction of this suit lies in Aligarh, U.P., where the defendants reside and where the cheques were issued and dishonored. The plaintiff has wrongly instituted the suit in Delhi, which lacks territorial jurisdiction.

34. In light of the above facts, it is prayed that this Court may be pleased to dismiss the suit with exemplary costs, as it is based on false claims and lacks legal merit. Declare that this CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.14/43 Court lacks territorial jurisdiction to adjudicate this matter. Grant any other relief(s) as deemed just and proper in the interest of justice.

#### Replication to the Written Statement

35. The present suit has been instituted before this Court as the cause of action arose at the plaintiff's residence in G-504, Aya Nagar, New Delhi. It was at this very location that the defendant approached the plaintiff seeking a friendly loan, which forms the basis of this dispute. The plaintiff, in good faith and based on prior acquaintance, agreed to extend financial assistance, relying on the defendant's assurance that the loan amount would be repaid within the stipulated time.

36. However, instead of repaying the amount as promised, the defendant has attempted to evade his obligations by fabricating an entirely false narrative in his written statement. The defendant's primary contention regarding the lack of territorial jurisdiction is completely misplaced. While it is true that the defendant is a resident of Aligarh, Uttar Pradesh, it cannot be ignored that he operates his business in Gurugram, Haryana, and frequently visited Aya Nagar, New Delhi, where the loan transaction took place. Moreover, the plaintiff has also visited Aligarh, and the interactions between the parties have been regular and well-established. Therefore, the claim that the defendant had no CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.15/43 financial or personal association with the plaintiff in Delhi is entirely baseless.

37. The defendant's assertion that the cheques in question were not issued against a loan disbursement is nothing but a false attempt to evade liability. The reality is that the cheques were validly issued as repayment of the loan advanced by the plaintiff. Furthermore, the defendant's statement that no agreement was executed for the loan is completely incorrect, as a proper agreement does exist, confirming the nature of the transaction. The defendant is deliberately making misleading statements to create confusion and misrepresent facts before this Court.

38. It is also pertinent to address the defendant's false claims regarding the so-called committee business. The defendant has concocted a story suggesting that the plaintiff was engaged in running a financial committee and misleading common people with false promises of high returns. This entire claim is a desperate attempt to divert attention from the actual issue of loan repayment. The plaintiff has never been involved in any committee business and has never misled any individual into investing money. On the contrary, it is well-known that the defendant himself had financial dealings with Md. Kaleem, and any involvement in a committee scheme pertains solely to his own transactions.



39. Furthermore, the defendant's assertion that he was coerced into signing an agreement under duress is completely CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.16/43 unfounded. It is true that the plaintiff visited the defendant's residence in Aligarh, but the visit was conducted in a peaceful manner, and the agreement that was executed between the parties was voluntary and without any form of coercion. At no point did the plaintiff or anyone associated with him threaten the defendant in any manner. Additionally, the defendant's claim that he paid a sum of Rs. 65,000/- under coercion is entirely fabricated and lacks any evidence to substantiate it.

40. Throughout his written statement, the defendant has repeatedly attempted to mislead this Court by making vague and unsubstantiated claims. His only objective is to delay the proceedings and escape his financial liability. It is clear that the defendant is merely trying to buy time by making false accusations, rather than addressing the real issue of non-repayment of the loan.

41. The legal objections raised by the defendant, including the question of jurisdiction and the validity of the transaction, are all matters that shall be adjudicated on merit. However, it is crucial to note that nothing in the defendant's written statement provides any substantial or credible evidence to counter the plaintiff's claim. The entire defense appears to be a deliberate attempt to distort facts and evade responsibility.

42. In light of the above, it is submitted that the defendant has failed to produce any credible evidence to substantiate his claims or to challenge the plaintiff's rightful demand. The CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.17/43 plaintiff's suit is legally and factually maintainable, and the question of territorial jurisdiction has been sufficiently established in favor of the plaintiff. The plaintiff prays for the suit to be decreed in his favor, as the defendant's written statement is a clear attempt to mislead this Court and evade his legal obligations. Any other relief(s) as deemed just and proper in the interest of justice may be granted.

#### Plaintiff's Evidence

43. PW-1, tendered evidence by way of affidavit Ex. PW1/1, bearing signatures at point A and B. PW-1 relied upon Ex. PW1/A, the certified copy of the written note dated 11.07.2017. PW-1 further relied upon additional documents exhibited as Ex. PW1/B (Colly), comprising the certified copy of the complaint under Section 138 of the Negotiable Instruments Act, including the return memo, account ledger inquiry, cheque No. 586490 dated 20.09.2017 and cheque No. 586489 dated 02.07.2017, both in the sum of Rs. 15,000/-, drawn in favor of PW-1.

#### Evidence affidavit of PW-1

44. PW-1, deposed that he is the plaintiff in the present suit and is fully aware of the facts and circumstances of the case. On 12.12.2015, the defendants, Rahimuddin and Shahrukh, who were known to PW-1 and shared family relations, approached PW-1 and his wife, Smt. Urmila Devi, seeking a CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.18/43 friendly loan of Rs. 2,50,000/-. The defendants claimed their shop had been burned down and that they were in dire financial distress. Moved by their situation, PW-1 provided them with the loan on the same day, in

the presence of witnesses Samim Khan, Kaleem Khan, Urmila Devi, Durjan Singh, and Kaushal Kishore, after obtaining a written note from the defendants.

45.The defendants had agreed to repay the loan within six months, but even after repeated demands, they failed to return the amount. Despite several visits by PW-1 and his wife, the defendants kept delaying repayment on various pretexts and even quarreled with them. PW-1, his wife, and Kaushal Kishore also visited the defendants' house at Wahid Nagar, Aligarh, in an attempt to recover the amount.

46.After constant follow-ups, the defendants issued a cheque of Rs. 16,000/- (cheque no. 140758), which was successfully encashed. Subsequently, they provided two more cheques of Rs. 15,000/- each (cheque nos. 586489 and 586490). However, both cheques were dishonored upon presentation in the bank. As a result, PW-1 initiated proceedings under Section 138 of the Negotiable Instruments Act, but the complaint was dismissed on technical grounds due to a defect in the legal notice.

47.Despite repeated requests, the defendants failed to return the outstanding amount of Rs. 2,50,000/-, except for Rs. 16,000/-. Due to their failure to repay the loan, PW-1 and his CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.19/43 wife suffered financial losses, mental agony, and incurred legal expenses, for which the defendants are liable to compensate.

48.Having exhausted all other means, PW-1 was left with no option but to seek legal recourse before this Court. The suit is true, correct, and legally maintainable, and PW-1 is entitled to the relief sought in the prayer clause of the suit.

#### Cross examination of PW-1

49.During cross-examination, PW-1 deposed that he worked as a Security Guard and was posted at MCD Toll, Dera Mandi, Delhi. PW-1 stated that the defendants were introduced by one Kalim Khan, S/o Mubarak Khan, and that the loan amount of Rs. 2.5 lakhs was given to the defendants at the instance of Kalim Khan, who assured repayment. No security was taken while handing over the money. PW-1 refuted the suggestion that he and his wife were running a committee business or that the cheques in question were issued as security for a committee transaction. The assertion that PW-1 had threatened the defendants at the time of the alleged committee's maturity was also denied. At this stage, further cross-examination was deferred at the request of Learned Counsel for the defendants.

50.PW-1 deposed that no formal agreement was executed at the time of disbursing the loan amount of Rs. 2.5 lakhs and that no security was taken against the loan. The present case was CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.20/43 filed based on a written document in which the defendant admitted taking a loan from the wife of PW-1 and issuing two cheques towards repayment. The document was prepared in Aligarh in the presence of Urmila Devi, Kaushal Kishor, Kalim Khan, and Shameem Khan.

51.PW-1 affirmed having personal knowledge of the case and denied the suggestion that he had no understanding of the proceedings. PW-1 admitted filing a complaint under Section 138 NI Act, which was dismissed for non- prosecution, but refuted the claim that the dismissal was on merits. The revision petition filed against the dismissal was also rejected. PW-1 stated that all witnesses from Delhi were brought to Aligarh for this case.

52.PW-1 confirmed that Kaushal Kishor was a nephew and Urmila Devi was his wife. The suggestion that PW-1 had threatened the defendants for the recovery of money was denied. While acknowledging that a complaint was filed against him in Aligarh, PW-1 clarified that it was lodged one year after the loan dispute arose, indicating an afterthought. The claim that PW-1 and his wife ran a committee business was denied. The suggestion that any assurance of high returns was given upon the maturity of a committee investment was also refuted. PW-1 categorically denied that he or his wife ever threatened the public over committee-related disputes. PW-1 reaffirmed that the cheques issued by the defendant were towards loan CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.21/43 repayment and not part of any committee business transaction.

PW-2/ Smt. Urmila Devi, W/o Sh. Sant Kumar/ Plaintiff No. 2

53.PW-2 tendered evidence by way of affidavit ( Ex. PW2/1), bearing signatures at point A and B. PW-2 relied upon Ex. PW1/A, which is the certified copy of the written note dated 11.07.2017, already exhibited in the testimony of PW-1. On 20.01.2023, PW-2 was recalled for further examination- in-chief and relied upon additional documents exhibited as Ex. PW2/A (colly), consisting of the certified copy of the complaint under Section 138 of the Negotiable Instruments Act along with supporting documents.

Evidence Affidavit of PW-2

54.PW-2, stated that she is one of the plaintiffs in the present suit, is fully aware of the facts and circumstances of the case, and is competent to depose in the matter.

55.The defendants, Rahimuddin and Shahrukh, were known to PW-2 and shared family relations with her. On 12.12.2015, the defendants approached PW-2 and her husband, claiming that their shop had been burned down and that they were in extreme financial distress. On the same day, PW-2 extended a friendly loan of Rs. 2,50,000/- to the defendants in the presence of Samim Khan, Kaleem Khan, Sant Kumar CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.22/43 (husband of PW-2), Durjan Singh, and Kaushal Kishore, after obtaining a written note from the defendants.

56.The defendants had assured repayment within six months, but despite repeated requests and visits, they failed to return the loan amount. Instead, they gave various excuses and even engaged in quarrels with PW-2 and her husband. In an effort to recover the amount, PW-2, her husband, and Kaushal Kishore visited the defendants' residence at Wahid Nagar, Aligarh.

57. After persistent follow-ups, the defendants issued a cheque for Rs. 16,000/- (cheque no. 140758), which was successfully encashed. Subsequently, they issued two more cheques of Rs. 15,000/- each (cheque nos. 586489 and 586490). However, both cheques were dishonored upon presentation in the bank. Following this, PW-2's husband, Sant Kumar, initiated proceedings under Section 138 of the Negotiable Instruments Act. However, the case was dismissed on technical grounds, as the legal notice sent to the defendants did not comply with the statutory provisions of the N.I. Act.

58. Despite repeated demands, the defendants failed to return the outstanding amount of Rs. 2,50,000/-, except for Rs. 16,000/-. Due to their non-payment, PW-2 and her husband suffered financial losses, mental agony, and incurred legal expenses, which the defendants are liable to compensate.

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59. Having exhausted all other remedies, PW-2 was left with no option but to seek legal recourse before this Court. The suit is true, correct, and legally maintainable, and PW-2 is entitled to the relief sought in the prayer clause of the suit.

Cross examination of PW-2

60. During cross-examination, PW-2 deposed that the case had been filed by all the plaintiffs and that the loan amount was given to defendant Rahimuddin Khan in cash. The money consisted of denominations of Rs. 100/-, Rs. 500/-, and Rs. 1000/-, though PW-2 did not remember the exact breakup. The cash had been kept at PW-2's residence, as it was intended for the marriage of her son and the purchase of jewelry. PW-2 stated that she was a housewife and also managed a grocery shop.

61. PW-2 categorically denied the allegation that she was involved in running a committee business. She further refuted the suggestion that she persuaded people to invest money in the committee scheme with promises of high returns upon maturity. PW-2 maintained that when the loan was handed over to Rahimuddin Khan in December 2015, a written note was taken from him. The transaction was conducted with the assurance of Mohd. Kalim Khan, nephew of the defendant.

62. PW-2 denied the suggestion that the written note was obtained through coercion or threats at the residence of the CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.24/43 defendant in Aligarh. She affirmed that Rahimuddin Khan had issued two cheques, one for Rs. 15,000/- and another for Rs. 16,000/-, towards repayment of the loan. She refuted the claim that the cheques were issued as security for a committee investment, with an understanding that they would be returned upon maturity of the scheme.

63. PW-2 admitted that she had filed a complaint against Rahimuddin Khan, but the same was not pursued further. She also did not lodge any complaint against him in any police station. However, she acknowledged that Rahimuddin Khan had filed a complaint against her at Aligarh Police Station, and as a result, she had received a call from the police station. She further confirmed that

police officials had visited her residence for verification, following which she personally visited Aligarh Police Station. PW-2 admitted that an FIR had been registered against her at Aligarh Police Station, but she clarified that she had accompanied Kaushal Kishor and Kalim Khan during her visit.

64.PW-2 strongly denied the suggestion that no loan had been given to the defendant. She also rejected the claim that when the committee matured, the defendant had demanded his money back, and she refused to return it while threatening him with police action.

CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.25/43 PW-3/SI Sharif Ahmad, PS Kwarshi, Aligarh, UP

65.PW-3, SI Sharif Ahmad, appeared as a summoned witness in the present case. He brought official records and submitted a copy of the chargesheet in FIR No. 0126/19, registered at PS Kwarshi, Aligarh, UP, under Sections 394, 452, 406, 504, and 506 IPC. The copy was duly signed by the SHO of PS Kwarshi at point A. PW-3 identified the signature of the concerned SHO, stating that he had witnessed the officer sign documents during the course of his duty. The chargesheet, consisting of 76 pages, was exhibited as Ex.PW3/A (colly).

#### Cross Examination of PW-3

66.During cross-examination, PW-3 confirmed that the FIR in question pertained to the year 2019. At that time, he was posted in Shamli and had no knowledge regarding the investigation in FIR No. 0126/19, PS Kwarshi, Aligarh. PW-3 denied the suggestion that he was deposing falsely.

#### Defendants' Evidence DW-1/ Sh. Rahimuddin/ Defendant No.1

67.DW-1, tendered his evidence by way of affidavit ( Ex. DW1/1), bearing signatures at points A and B. DW-1 relied upon the following documents:

- o Ex. DW1/A - Copy of FIR No. 126/2019.

CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.26/43 o Mark DW1/A1 - Copy of the application under Section 156(3) Cr.P.C.

- o Mark DW1/B - Copy of dismissal order under Section 138 of the NI Act dated 12.02.2018 (de-exhibited).

- o Mark DW1/C - Copy of the dismissal order of Criminal Revision dated 26.11.2020 (de-exhibited).

#### Evidence Affidavit of DW-1

68.DW-1, stated that he operates a furniture business in Gurugram and has limited visits to Delhi to meet relatives. He denied the plaintiff's claims, asserting that the suit was not filed with clean hands and that material facts had been suppressed.

69.He maintained that he was introduced to Plaintiff No. 2, Urmila Devi, and her husband, Sant Kumar, through Md. Kaleem, a distant relative from his native place. According to DW-1, the plaintiffs were engaged in running a local 'Committee Business', wherein people were induced to invest liquid money on a monthly basis with promises of profitable returns upon maturity.

70.Trusting the assurances of the plaintiffs and Md. Kaleem, DW-1 joined two committees of Rs. 1,00,000/- each, paying Rs. 5,000/- per month for 12 months. Later, he was allegedly persuaded to open two additional committees of Rs. 2,00,000/- and Rs. 3,00,000/-, with earlier maturity amounts being adjusted into new investments. DW-1 took CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.27/43 two blank signed cheques as security for the committee payments, which, according to him, were to be deposited only upon prior confirmation.

71.Since DW-1 did not have a personal bank account, his son, Defendant No. 1, Shahrukh, issued two cheques (No. 586489 and 586490 from Canara Bank, Aligarh) for Rs. 15,000/- each, with no dates or payee details filled in. Payments for the committee were sometimes made in cash or cheques, as per their convenience. The final installment of Rs. 16,000/- was paid via cheque No. 140758 dated 30.12.2016, which was issued by Shahrukh but filled as per the plaintiff's instructions. The cheque was later credited in Sant Kumar's account.

72.DW-1 stated that as the committees reached maturity, he demanded the return of his security cheques, but the plaintiffs assured him they would be returned later. However, when DW-1 requested his returns, the plaintiffs allegedly became uncooperative and refused to repay the maturity amount. He claimed that in retaliation, the plaintiffs fraudulently filled the blank cheques and deposited them, leading to their dishonor due to insufficient funds.

73.DW-1 further alleged that Sant Kumar and Urmila Devi threatened him with police action if he persisted in demanding repayment, asserting that Sant Kumar, a gunman security guard, had police connections and threatened to shoot him if he visited their residence. Fearing CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.28/43 for his safety, DW-1 chose to remain silent but later approached Kwarshi Police Station, U.P., to lodge a complaint, which was refused due to jurisdictional reasons. Subsequently, he filed an application under Section 156(3) Cr.P.C. before the ACMM, Aligarh, resulting in FIR No. 126/2019 being registered against the plaintiffs under Sections 394, 452, 406, 504, and 506 IPC.

74.DW-1 also stated that in July 2017, Urmila Devi, accompanied by two retired police officers from UP Crime Branch and other associates, allegedly attacked his residence in Aligarh, threatened his family, and forced him to sign an undertaking admitting to a Rs. 2,50,000/- loan. Due to fear and public humiliation, DW-1 claimed that he collected Rs. 65,000/- from home and neighbors and handed it over to the plaintiffs. He alleged that the written undertaking was forcibly obtained from him in the absence of Md. Kaleem.

75.Despite approaching the local police, DW-1 stated that his complaint was not entertained due to jurisdictional constraints. He subsequently filed an application under Section 156(3) Cr.P.C. before the ACMM, Aligarh, which resulted in an FIR against Sant Kumar and Urmila Devi. DW-1 further

contended that the plaintiff had earlier filed a complaint under Section 138 NI Act against him and his son, which was dismissed as non-maintainable by the Ld. MM, Saket Court, on 12.02.2018 in Crl. Com No. CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.29/43 12728/2017. The dismissal order was exhibited as Ex. DW1/B.

76.DW-1 asserted that the plaintiffs were running an illegal committee business and exploiting illiterate individuals, using coercion and threats to evade repayments when the committees matured. He maintained that the suit was false, filed with ulterior motives, and aimed at recovering a fictitious loan amount.

#### Cross-Examination of DW-1

77.During cross-examination, DW-1 stated that he had known the plaintiff since 2013-14 through his neighbor, Mr. Kaleem Khan. He confirmed that he owned a furniture shop in Gurugram, where the plaintiff, accompanied by Kaleem Khan, had visited to sell old furniture. However, he denied developing any friendly relationship with the plaintiff, asserting that his association was only with Mr. Kaleem Khan.

78.DW-1 admitted that his furniture shop caught fire in 2015, but denied that it led to a friendship with the plaintiff. He acknowledged a discrepancy in para 5 of his evidence affidavit (Ex. DW1/1), clarifying that the EMI of Rs. 5,000/- was for one committee of Rs. 1,00,000/- over 20 months, not for two committees over 12 months. He maintained that two committees commenced in 2013-14, CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.30/43 rejecting the suggestion that the plaintiff was never involved in any committee transactions.

79.DW-1 stated that another committee mentioned in para 6 of his affidavit commenced in 2012, asserting that a register documenting committee transactions was in the plaintiff's possession. However, he could not confirm whether this fact was included in his written statement or affidavit, stating that his counsel was aware of it. He denied that no such register existed.

80.DW-1 acknowledged that the cheques exhibited as Ex. PW1/B (colly) were issued by his son in favor of the plaintiff but asserted that they were related to committee installments and were undated at the time of issuance. He denied that the cheques were issued as repayment for a Rs. 2,50,000/- loan, maintaining that no such loan was ever taken.

81.DW-1 admitted that he had deliberately stopped the payment of the cheques but claimed that it was because the plaintiff had not paid him the committee amount. He conceded that he never lodged any complaint or took legal action regarding the alleged non-payment of the committee amount, but insisted that he had complained to Mr. Kaleem Khan and a few other persons. He denied the suggestion that no such complaint was made.

82.DW-1 confirmed that he had received the legal notice dated 25.01.2018, exhibited as Ex. PW1/D1. When shown Ex.

CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.31/43 PW1/A, he acknowledged his signature at point A but claimed that he had signed the document under duress. He was unaware of the signatures at point B on the same document but confirmed that Kaleem Khan was present when the document was prepared and signed. He could not confirm whether Kaleem Khan's elder brother was also present.

83.DW-1 stated that he attempted to file a complaint against the plaintiff on 11.07.2017, the date of execution of Ex. PW1/A, but the police refused to register it. He claimed to have prepared a written complaint, but it was not registered by the police. He denied the suggestion that he had never approached the police regarding the alleged coercion.

84.When questioned about inconsistencies between his FIR (Ex. DW1/A) and his evidence affidavit (Ex. DW1/1) regarding the number of committees, DW-1 could not clarify the discrepancy, maintaining that there were four committees, not five. He denied that the allegations in the FIR and his affidavit regarding the committees were false. He further denied that the police had filed a closure report on 21.10.2019 regarding the FIR (Ex. DW1/A).

85.DW-1 denied filing a false FIR to evade repaying the plaintiff and refuted allegations that he fled to his native place after taking money from the plaintiff. He maintained that he was not liable to pay Rs. 2,50,000/- and rejected the suggestion that he was deposing falsely.

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86.DW-2 tendered evidence by way of affidavit, exhibited as Ex. DW-2/A, bearing signatures at points A and B. DW-2 relied upon the documents already exhibited by DW-1.

Evidence Affidavit of DW-2

87.DW-2, a permanent resident of Aligarh, Uttar Pradesh, states that he has no direct involvement in the present dispute and is unaware of any personal transactions between the plaintiffs and himself. He asserts that the suit has been filed with unclean hands, suppressing material facts, and lacks proper disclosure of the cause of action.

88.DW-2 explains that the plaintiffs, Smt. Urmila Devi and Sh. Sant Kumar, were introduced to his father, Rahimuddin (Defendant No. 2), by Md. Kaleem Khan, who allegedly persuaded his father to invest in a "Committee Business"

that promised high returns upon maturity. Trusting these assurances, his father initially joined a committee with a contribution of Rs. 1,00,000/-, paying monthly installments of Rs. 5,000/- for 20 months. Later, as the initial committee neared maturity, the plaintiffs encouraged his father to invest in two additional committees worth Rs. 2,00,000/- and Rs. 3,00,000/-, promising that the returns from previous committees would be adjusted.



89. Since his father did not have a bank account, DW-2, acting on his father's instructions, issued two blank cheques (bearing nos. 586489 and 586490) from his Canara Bank account in Aligarh as security for the committee contributions. Due to financial strain, his father occasionally asked him to make payments towards the committees, but he had no direct involvement beyond this.

90. DW-2 claims that when the committees matured, his father requested the return of the security cheques, but the plaintiffs assured that they would be returned at the time of settlement. However, instead of refunding the money to investors, the plaintiffs allegedly started quarrels, creating disputes among contributors. As tensions escalated, the plaintiffs allegedly misused the blank security cheques by fraudulently inserting their name and date, presenting them for encashment without prior notice. The cheques were dishonored due to insufficient funds, as his father had no anticipation that they would be deposited.

91. Subsequently, DW-2 alleges that the plaintiffs and their associates regularly threatened his father with false legal actions, warning that if they visited Aya Nagar, they would be handed over to the police on fabricated charges. In July 2017, Smt. Urmila Devi and two others allegedly went to his residence in Aligarh, forced his father to sign an undertaking stating that he had taken a loan of Rs. 2.5 lakhs, and coerced him into making an immediate payment.

92. DW-2 further refers to previous legal proceedings where the plaintiffs had filed a complaint under the Negotiable Instruments Act against him and his father concerning the dishonored cheques. The complaint was dismissed by the Ld. MM, Saket Court, for being non-maintainable (Crl. Com No. 12728/017, order dated 12.02.2018). The plaintiffs then challenged the dismissal before the Ld. ASJ, but the revision petition was also dismissed on 26.11.2020 (Crl. Revision No. 8/2020).

93. DW-2 contends that the plaintiffs, under the guise of running a committee business, have been defrauding innocent investors by making false promises of lucrative returns. He alleges that when the time comes for repayment, they fabricate disputes, create nuisance, and threaten legal harassment against those demanding their money back.

#### Cross-Examination of DW-2

94. During cross-examination, DW-2 deposed that plaintiff was not personally known, though DW-2's father, Rahimuddin Khan, was acquainted with him. DW-2 never met plaintiff and had no direct involvement in any committee transactions, though discussions regarding committees took place at home. Upon being questioned about the committee, DW-2 stated that Rahimuddin Khan mentioned it between 2015 and 2016. The cheques bearing nos. 586489 and 586490 were issued by Rahimuddin Khan CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.35/43 to plaintiff as security for committee transactions. DW-2 did not recall when the alleged committees

had commenced.

95.DW-2 acknowledged receipt of a legal notice at his residence. When shown the reply to the legal notice dated 11.12.2017, sent by Advocate K.K. Singh, DW-2 admitted that the reply was filed on his behalf. The said reply was exhibited as Ex. DW-2/PX1. DW-2 denied the suggestion that the reply did not mention anything about the committees. DW-2 further stated having no knowledge of any FIR filed by Rahimuddin Khan against plaintiff, nor was DW-2 aware of whether the police had canceled the said FIR.

96.DW-2 confirmed that plaintiff deposited the aforementioned cheques for encashment at Punjab National Bank, Aya Nagar Branch. However, DW-2 asserted that both cheques were dishonored because they were deposited without his knowledge, and the dates on the cheques were filled in by plaintiff himself. DW-2 denied having personally entered the dates on the cheques. DW-2 expressed ignorance regarding any alleged settlement dated 11.07.2017 between plaintiff and Rahimuddin Khan. When asked about Maksood, DW-2 confirmed that he was his brother and that Shamim Khan was a relative residing nearby. DW-2 also stated that Kalim Khan was a friend of Rahimuddin Khan and resided in Aya Nagar, Delhi.

97.When questioned about his whereabouts on 11.07.2017, DW-2 could not recall where he was on that specific date CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.36/43 but denied the suggestion that DW-2 was not present in his village on that day. Upon being shown Ex. PW-1/A, DW-2 identified the signature of Rahimuddin Khan at Point A but was unable to confirm whether Maksood's signature appeared on the document. DW-2 denied knowing plaintiff and refuted allegations that the cheques were issued to discharge a loan liability of Rs. 2,50,000/-.

98.DW-2 further denied suggestions that no committee ever existed between plaintiff and Rahimuddin Khan or that Rahimuddin Khan filed a false FIR to evade liability for Rs. 2,50,000/-. DW-2 stated that plaintiff had visited Waheed Nagar and issued threats to Rahimuddin Khan, though DW-2 could not recall the exact date. DW-2 affirmed his presence in the village on the day of the alleged incident but had no knowledge of any action taken by Rahimuddin Khan in response to the threats.

99.DW-2 denied that neither he nor Rahimuddin Khan lodged a complaint against plaintiff on the same day due to the absence of any coercion or wrongdoing. DW-2 also denied that Rahimuddin Khan filed an FIR against plaintiff solely as a retaliatory measure after receiving the legal notice. DW-2 confirmed that the furniture shop in Gurugram caught fire in 2015 but denied facing financial distress, stating that relatives provided financial assistance. DW-2 refuted the claim that this fact was omitted from the reply to the legal notice, written statement, or evidence affidavit. DW-2 categorically denied that Rahimuddin Khan CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.37/43 borrowed Rs. 2,50,000/- from plaintiff or that DW-2 was deposing falsely.

Final Arguments

100. Learned Counsel for both the parties argued in terms of the written submissions so filed. This Court has carefully perused the same for the purposes of the present judgment.

Analysis and Findings Issue No. (1) Whether the plaintiff is entitled to recover a sum of Rs. 2,50,000 from the defendants? OPP

101. The Onus to prove this issue was upon the plaintiffs.

102. The present suit has been filed by the plaintiffs seeking recovery of Rs. 2,50,000/- from the defendants, along with interest, alleging that the said amount was advanced as a friendly loan. The plaintiffs claim that on 12.12.2015, the defendants, citing financial distress due to a fire at their shop, approached them for a loan of Rs. 2,50,000/-. Relying on their assurances of repayment within six months, the plaintiffs extended the loan. However, despite repeated demands, the defendants allegedly failed to return the amount.

103. It has been further contended that, after persistent follow-ups, the defendants issued three cheques, one for Rs.

CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.38/43 16,000/- and two for Rs. 15,000/- each. While the cheque for Rs. 16,000/- was encashed, the other two cheques were dishonored due to insufficient funds. The plaintiffs initially pursued a complaint under Section 138 of the Negotiable Instruments Act, 1881, which was dismissed on maintainability grounds. Thereafter, the present civil suit was filed for recovery of the remaining amount.

104. On the other hand, the defendants have denied the loan transaction and contended that the cheques in question were issued as security for their participation in a committee business allegedly run by the plaintiffs. They claim that the plaintiffs have misused these security cheques to fabricate a false loan claim. Additionally, the defendants allege that they were coerced into signing an acknowledgment of debt under duress and had lodged an FIR against the plaintiffs for criminal intimidation and financial coercion.

105. In view of these contentions, the primary question to be determined is whether the plaintiffs have successfully proved that Rs. 2,50,000/- was advanced as a loan and remains due from the defendants.

106. Since the plaintiffs have asserted a loan transaction, the burden of proof lies upon them to establish, through cogent and reliable evidence, that the amount was indeed advanced and remains unpaid. To substantiate their claim, the plaintiffs have relied upon an alleged written acknowledgment of the loan, exhibited as Ex. PW1/A, purportedly signed by the defendants, the dishonored CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.39/43 cheques, exhibited as Ex. PW1/B (colly), legal notice and return memos and oral testimonies of PW-1 Sant Kumar and PW-2 Urmila Devi.

107. Conversely, the defendants have refuted the claim and sought to establish that no loan transaction ever took place, the cheques were issued merely as security for a committee investment, the plaintiffs, along with their associates, were involved in an informal committee business promising high returns, the acknowledgment of debt was obtained through coercion and is not a voluntary admission of liability, an FIR was lodged against the plaintiffs for financial coercion and criminal intimidation, exhibited as Ex. DW1/A and the plaintiffs' earlier complaint under the Negotiable Instruments Act was dismissed, and the revision against the same was also rejected, marked as Mark DW1/B and DW1/C.

108. Upon examination of the evidence, it is evident that the plaintiffs have not provided any independent or reliable proof of the alleged loan transaction. No documentary evidence, such as a promissory note, loan agreement, or proof of withdrawal of Rs. 2,50,000/- from their bank account, has been placed on record. The reliance on the alleged acknowledgment of debt (Ex. PW1/A) alone is insufficient to establish a legally enforceable debt, especially in light of the defendants' contention that it was signed under duress. Furthermore, the plaintiffs' failure to produce bank records or third-party witnesses to CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.40/43 substantiate the claim casts doubt on their version of events. Mere oral assertions, unsupported by financial documentation, do not suffice.

109. On the other hand, the defendants have presented a consistent and plausible defense. Their assertion that they were involved in a committee business, rather than being borrowers of a loan, is supported by their explanation that the cheques were issued as security and not in repayment of a debt. Furthermore, the lodging of an FIR against the plaintiffs adds weight to their claim of coercion. The plaintiffs have failed to effectively counter these defenses or produce any independent witnesses to verify the alleged loan transaction.

110. From the above analysis, it is evident that the plaintiffs have failed to discharge the burden of proving that Rs. 2,50,000/- was advanced as a loan and remains outstanding. The absence of a formal loan agreement, corroborative bank records, and independent third-party testimony significantly weakens their case. Moreover, the existence of an alternative explanation, namely, that the transaction was related to a committee business rather than a loan, creates reasonable doubt about the plaintiffs' claim.

111. It is a settled principle of law that a plaintiff must succeed on the strength of their own case and not on the weakness of the defendant's defense. In this matter, the plaintiffs have failed to produce convincing and reliable evidence to substantiate their claim. The mere issuance of CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.41/43 cheques does not, in itself, establish the existence of a loan, particularly when the defendants have provided a reasonable explanation for their issuance.

112. Accordingly, this Court holds that the plaintiffs have not succeeded in proving, on a balance of probabilities, that Rs. 2,50,000/- was advanced as a loan and remains due from the defendants. The issue is, therefore, decided against the plaintiffs and in favor of the defendants.

Issue No. (2) Whether the plaintiff is entitled to any interest on the claimed amount, and if yes, at what rate and for what period? OPP

113. The Onus to prove this issue was upon the plaintiffs.

114. The present issue pertains to the plaintiff's claim for interest on the principal sum of Rs. 2,50,000/-, which is alleged to have been advanced as a friendly loan to the defendants. The plaintiff has sought interest at the rate of 24% per annum from the date of the loan transaction until its realization. The defendants have denied any liability for interest, contending that no loan transaction ever took place and that the alleged debt is fabricated.

115. Since the issue of interest is contingent upon the existence of a legally enforceable debt, it must first be determined whether the plaintiff has successfully CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.42/43 established their entitlement to the principal amount before addressing the claim for interest. In the present case, the claim for interest is premised on the assertion that the amount of Rs. 2,50,000/- was advanced as a loan and remained unpaid despite repeated demands. However, as already determined in Issue No. 1, the plaintiffs have failed to establish the existence of a legally enforceable loan transaction.

116. Since the plaintiff has not been awarded the principal amount in the present case, the question of awarding interest does not arise. Interest is ancillary to the principal sum adjudged, and where the claim for the principal amount itself has not been established, the claim for interest automatically fails. Accordingly, this issue is decided against the plaintiff, and the claim for interest is dismissed.

Relief:

117. In light of the findings on the foregoing issues, the present suit stands dismissed. No relief can be granted to the plaintiff.

118. No order as to costs.

File be consigned to record Room after due compliance.

Announced in the open courtANURADHA ANURADHA JINDAL on 17.02.2025. (ANURADHA JINDAL JINDAL) Date: 2025.02.17 16:45:08 +0530 ASCJ-cum-JSCC-CUM-GJ (South) Saket Courts, New Delhi CS SCJ 142/18 SANT KUMAR VS. SHAHRUKH & ORS., PAGE NO.43/43